Engagement Agreement

Ref:

This letter is to confirm my understanding of your request to appraise the following property by way of a:

☐ Restricted Appraisal Report - Onsite
☐ Restricted Appraisal Report - Desktop

Type of Property	
Business Name	
Business Address	
City, State, Zip Code	
Contact Name	
Contact E-mail	
Contact Phone	

The following parameters of this engagement are also based upon our previous communication. Appraiser is to use the approaches to value he/she feels is applicable or a blending thereof, in determining value.

Date of Value	
Intended Use	Commercial Lending / Business Planning
Intended User	
Type of Value (circle)	

You have requested that I prepare a Restricted Appraisal Report as defined by the Uniform Standards of Professional Appraisal practice:

1. *The appraisal report will not be given to any other party without the appraiser approval.*
2. *The appraiser will report the type of value requested by the client by researching the market and industry, apply the appropriate approaches to value, and provide a written report of his findings.*
3. *The appraiser is indemnified against any and all problems that may arise from the use of this report. You agree to indemnify and hold us harmless against and from any and all losses, claims, actions, damages, expenses or liabilities, including reasonable attorney's fees, to which we may become subject in connection with this engagement. You will not be liable for our negligence.*
4. *You agree that in the event we are judicially determined to have acted negligently in the execution of this agreement, damages shall be limited to an amount not exceed the fee received by us for this agreement.*
5. *Our liability for injury or loss, if any, arising from the services we provide to you shall not exceed $2,500 or our fee, whichever is greater. There shall be no punitive damages. Increased liability limits may be negotiated upon your written request, prior to commencement of our services, and your agreement to pay additional fee.*
6. *Your obligation for indemnification and reimbursement shall extend to any controlling person of Bison Valuation, including any director, officer, employee, subcontractor, affiliate or agent.*
7. *If in the future the appraiser is called on to testify in court or at deposition regarding the written report, the appraiser will be paid the going hourly rate charged by the appraiser to cover professional time, the gathering of materials, reviewing the case and preparing for testimony along with other expenses incurred.*
8. *If called on to defend this report to any other party, the appraiser's expenses and hourly rate will be billed on a monthly basis or as incurred.*
9. *The client will shoulder the responsibility of legal costs incurred by the appraiser when defending this appraisal.*
10. *Client agrees that the Limiting Conditions, as stated in the report, will be acceptable with the level of work and detail of work to be performed as outlined in the "Scope" section of the report. A sample of the Scope Section has been provided and received by the client.*
11. *Only the larger items of machinery/equipment will be appraised using the whole range of appraisal methodology. The balance of smaller support items will be valued by way of industry depreciation standards and historical metrics. These smaller items will be valued and reported in bulk.*
12. *In the unlikely event of a dispute, the parties under the terms of this agreement shall be subject to arbitration. Arbitration shall be conducted in the state of residence of the appraiser.*
13. *If the IRS and the client should reach an agreement with the IRS for a value different than the conclusion of value by the appraisal associated with this engagement letter, the client will inform the appraiser within 10 day days of the conclusion of value and the agreed to value between the IRS and the client.*

As a result of our previous communication, and at your request, I report this Restricted Appraisal Report according to one of the report formats outlined in Standard Rule Eight of the Uniform Standards of Professional Appraisal Practice. Specifically, you have requested that the assignment be reported as a Restricted Appraisal Report Format. I have determined that the chosen format is consistent with the nature of the assignment and the intended use of the report.

As previously agreed, the fee for this assignment will be _____. The estimated delivery date for the report will be _____ from a signed Engagement Agreement.

Thank you for the opportunity to be of service. Please sign and date this engagement letter and return the original to our office.

Date	Client
Bison Valuation Signature	Client Signature